

The welfare state



People inevitably lose jobs, get ill and become too old to work. To deal with these situations, governments fund health care and provide social security, paying a basic income to individuals who are unable to support themselves. Why can't private markets do the job by insuring people against ill health or unemployment? Economists now understand how imbalances of information between buyers and sellers mean that insurance markets often don't work very well. For example, because distinguishing between healthy and unhealthy people is difficult, insurers will take the very fact that a person asks for health insurance as an indication that he is unhealthy. This raises premiums and means that some people don't get insured. One rationale for social insurance or state provision of health care is to get around these market failures. The downside of such a 'welfare state' is that it may lead to adverse incentives. If health care is paid for, people

might be less careful about their health, and the debate continues about the extent to which unemployment benefits encourage people to stay out of work.